



Qualification Programme Examination Panelist's Report

Module 9 – Principles of Taxation (December 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 10 multiple choice questions. Candidates were required to answer all questions. The contents of the questions related broadly to the following topics:

- (a) Tax administration;
- (b) Property tax;
- (c) Salaries tax;
- (d) Profits tax; and
- (e) Stamp duty.

The questions covered non-computational questions and computational questions. Candidates' overall performance in this section was average.

Specific Comments

The wide range of topics in the syllabus may be a source of difficulty for candidates. Candidates were especially weak in the following areas:

- (a) Profits tax – prescribed fixed assets;
- (b) Profits tax – taxation on non-resident; and
- (c) Stamp duty – lease.

Candidates were advised that multiple choice questions could cover every part of the syllabus. They should have had adequate coverage and knowledge of all topics in the syllabus when they prepared for the examination.

(II) Section B – Written Questions

General Comments

The questions in this section tested the candidates on their conceptual understanding and their ability to apply their knowledge to specific situations that are commonly tackled by tax professionals in their work. Overall performance in this section was less than satisfactory. Many candidates demonstrated a basic understanding of computing tax



liability under different types of tax. However, they were reluctant to answer essay-type questions. They could not present their answers properly as required in the questions. Candidates should improve their analytical and writing skills. Candidates should be made aware that their poor performance on this part of the assessment would greatly affect their overall performance.

Specific Comments

Question 1(a) – 2 Marks

This question required candidates to compute the amount of industrial building allowance.

Performance was satisfactory. Most candidates could use the qualifying expenditure to compute the annual allowance. However, some candidates wrongly used the residual value.

Question 1(b) – 18 Marks

This question required candidates to compute the profits tax liability of a corporation.

Candidates performed well in this question. They generally showed a basic knowledge of profits tax computation. Yet, candidates should note that:

- (a) Rent for the office was deductible despite the fact that it was owned by the director;
- (b) Interest on the director's loan was not deductible;
- (c) Profit on sale of a residential flat was not taxable as it was capital gain; and
- (d) the amount of approved charitable donations allowed should be capped at 35% on profits after depreciation allowances.

Question 1(c)(i) – 3 Marks

This question required candidates to analyse the tax treatment of a loan to an ex-employee written off.

Performance was poor. Candidates failed to identify the conditions for the deduction of bad debts as provided under the Inland Revenue Ordinance.

Question 1(c)(ii) – 3 Marks

This question required candidates to analyse the tax treatment of interest on the director's loan.

Performance was poor. Candidates failed to analyse the deductibility of interest paid had to fulfil any condition under section 16(2) of the Inland Revenue Ordinance despite the fact that it was used for the purpose of producing chargeable profits.



Question 2(a) – 4 Marks

This question required candidates to compute the share option gain chargeable to salaries tax.

Performance was good. Most candidates could compute the amount of share option gain. However, some candidates did not apportion the gain attributable to Hong Kong services.

Question 2(b) – 11 Marks

This question required candidates to compute the salaries tax liability of an employee under Hong Kong employment.

Candidates performed well in this question. Candidates generally demonstrated basic knowledge of salaries tax computation. However, candidates should strengthen their knowledge on the computation of rental value in case where different types of accommodation were provided in a year of assessment. Candidates should also note that:

- (a) The whole amount of commission was chargeable to tax and allowed 10% of it under outgoing and expense;
- (b) Benefit on the motor car was not taxable; and
- (c) Standard rate should be on the assessable income before personal allowances instead of on the net chargeable income.

Question 2(c) – 3 Marks

This question required candidates to analyse the tax treatment of the provision of the motor car.

Candidates did not perform well. They failed to explain the reasons why the provision of the motor car was not a taxable benefit.

Question 3(a) – 3 Marks

This question required candidates to explain the time limit for an assessor to raise an assessment or additional assessment.

Performance was poor. Most candidates failed to mention the time limit as specified under section 60 of the Inland Revenue Ordinance.

Question 3(b) – 6 Marks

This question required candidates to analyse the circumstances under which an assessment can be reopened after an assessment had become final and conclusive.



Performance was disappointing. Many candidates wrongly applied the objection procedures. They had no idea that a taxpayer could lodge a section 70A claim for correction of omission of his/her claim for deduction of approved charitable donations.

Question 4(a) – 3 Marks

This question required candidates to compute the property tax liability.

Performance was good. They were familiar with the presentation of the property tax computation. However, some candidates wrongly deducted the mortgage loan interest in the computation.

Question 4(b) – 6 Marks

This question required candidates to compute the net chargeable income under personal assessment.

Candidates performed fairly in this question. The candidates did not present the personal assessment computation format properly. The candidates also failed to include the net assessable value correctly. Candidates should note that:

- (a) The total approved charitable donations should include the spouse's donations;
- (b) The business loss should be deducted after the deduction of concessionary deductions; and
- (c) Married person's allowance instead of the basic allowance should be granted.

Question 5(a) – 9 Marks

This question required candidates to compute the amount of depreciation allowances for plant & machinery and the hire purchase interest.

Performance was average. Candidates possessed the concept of pooling system for plant & machinery. Yet, they should note that:

- (a) The prescribed fixed assets (including its disposal proceeds) should not be included in the pool;
- (b) The residual value of the fully paid hire purchase motor vehicle should be transferred to the pool;
- (c) They were not familiar with the calculation of depreciation allowances of machine under hire purchase; and
- (d) They did not compute the amount of hire purchase interest correctly.

Question 6 – 9 Marks

This question required candidates to analyse and compute the amount of stamp duty payable on the agreement for sale and purchase and conveyance on sale of a residential property.



Candidates performed well in the part of the agreement for sale and purchase but poor in the part of the conveyance on sale. Candidates did not realise that Tom and May were treated as the same person, the conveyance on sale was considered in conformity with the agreement for sale and purchase, no ad valorem duty, special stamp duty or buyer's stamp duty was payable.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was less than satisfactory. The syllabus of this paper covered Inland Revenue Ordinance and Stamp Duty Ordinance, for which candidates should have been thoroughly prepared. The questions consisted of computational questions and essay-type questions. The essay-type questions which required analysis or explanation were answered poorly. Candidates were reluctant to answer them or unable to present the answers properly. Many candidates seemed to have no idea on those topics. If they wish to attain better results, candidates are advised not just to focus their studies on the computational parts of the syllabus.